Housing Options in King County

Customer: Eric Robinson

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Eric Robinson

Role: Socially Responsible Real Estate Investor

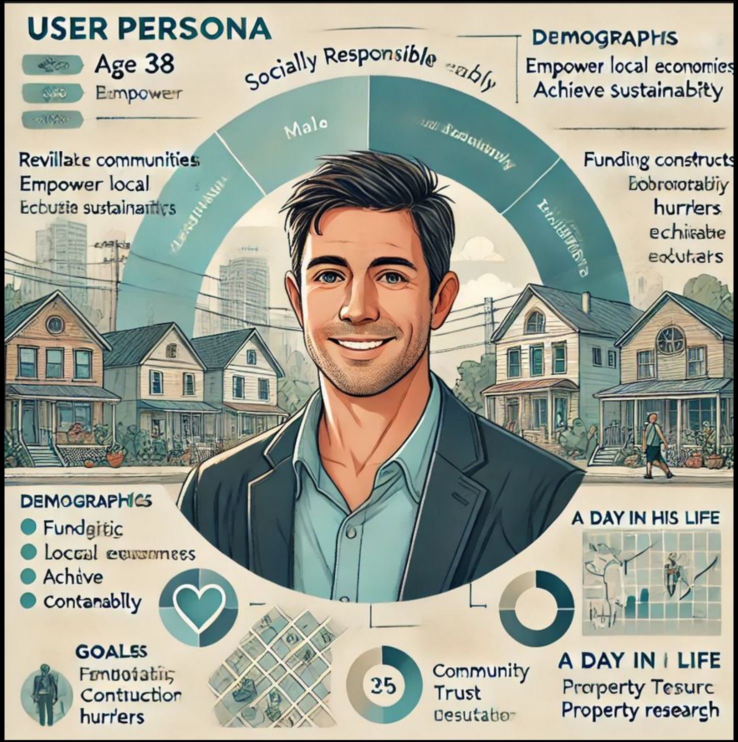
Overview: Erin invests in underserved neighborhoods, acquiring and rehabilitating neglected properties if needed to provide affordable housing and community spaces. He prioritizes covering costs with a small profit, ensuring long-term benefits for residents without causing displacement.

Goals: Revitalize communities, empower local economies, and promote equitable development.

Challenges: Balancing affordability with sustainability, navigating bureaucratic hurdles, and building trust with local residents.

Personality: Empathetic, pragmatic, resilient, and visionary, with a deep commitment to social impact over profit.

"Profit is important, but purpose is everything."



Goal: Identify Optimal Investment Opportunities

Identify undervalued properties in poor neighborhoods with high potential for resale value growth post-renovation.

Assumptions and Hypothesis

Identify **undervalued properties** →

- Hypothesis 1: The value of a property is defined by its condition, grade and living area.

in **poor neighborhoods** →

- Assumption: Poor neighbourhoods in Seattle (and target of this study) are the ones described in this list.

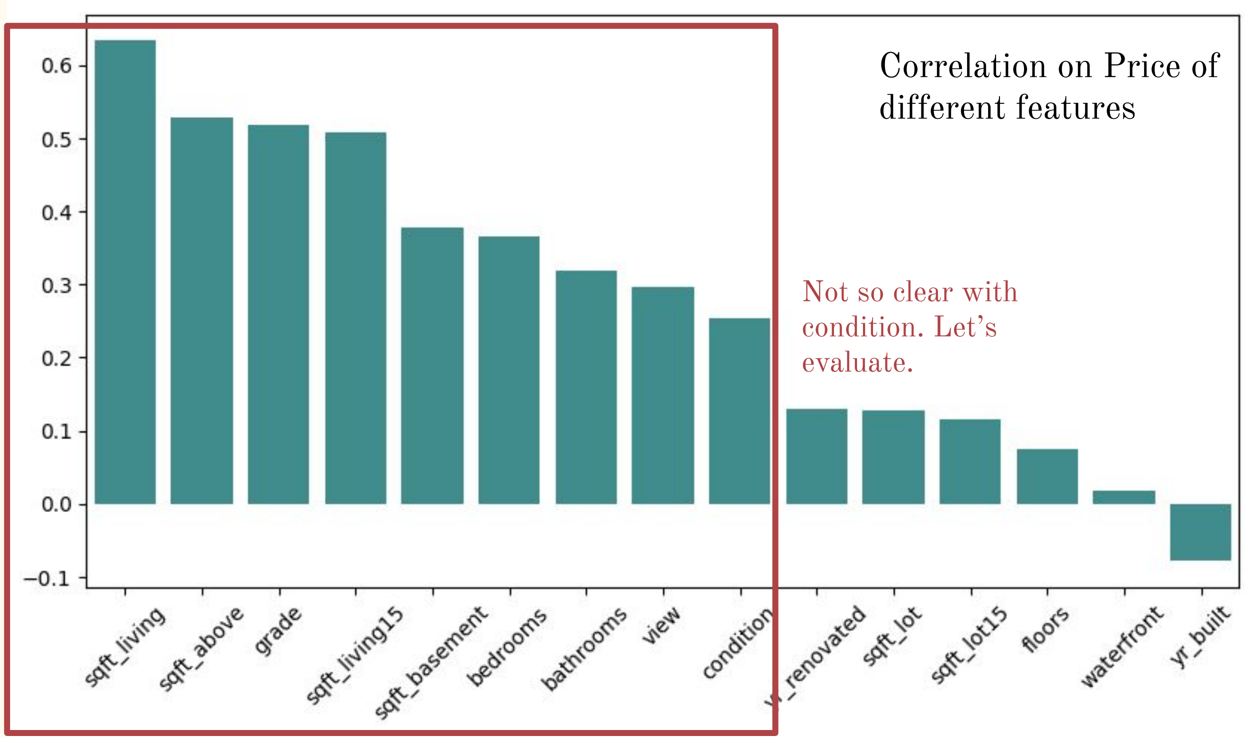
with **high potential for resale value growth post-renovation** →

- Hypothesis 2: The value of a property increases after renovation

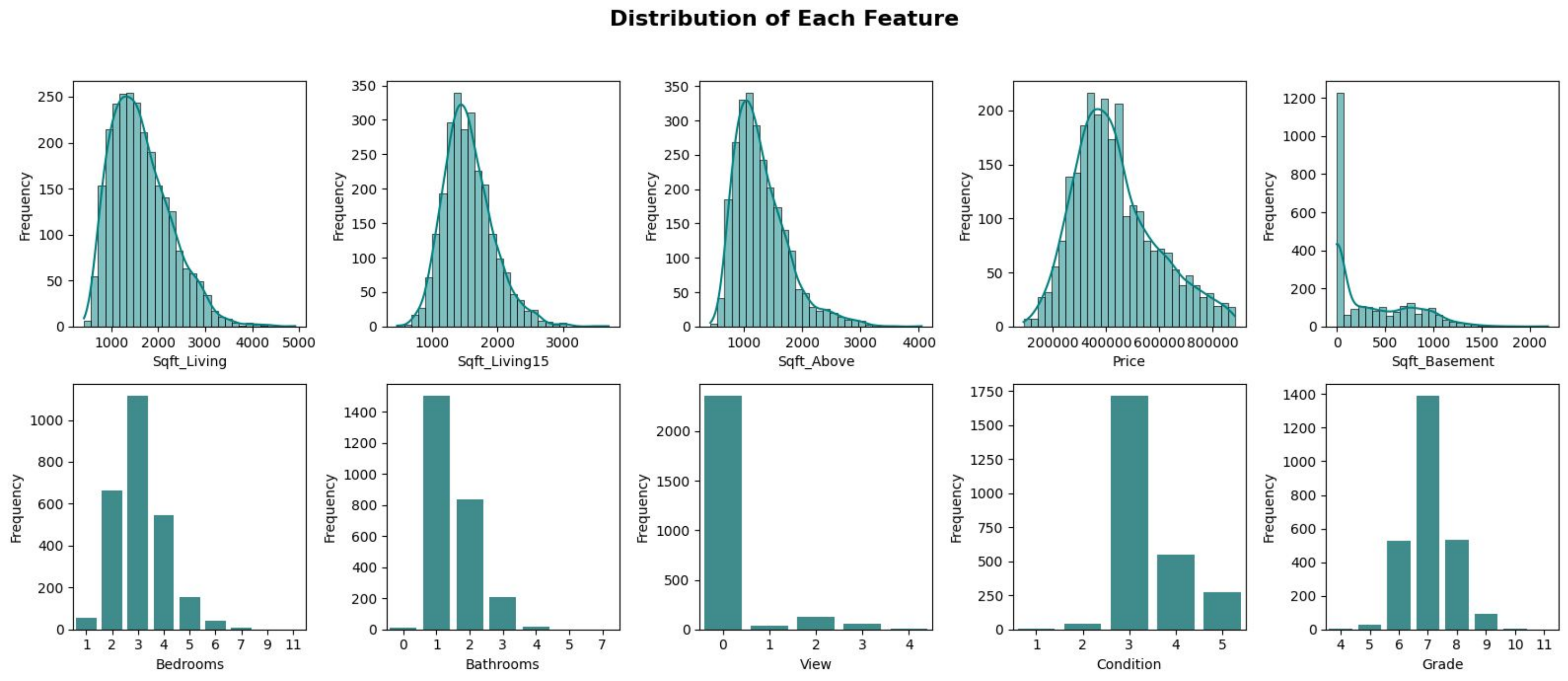
H1: The value of a property is defined by its **condition**, **grade** and **living area**.

Highest impact on price.

Living area and grade seem to have a clear impact on price.

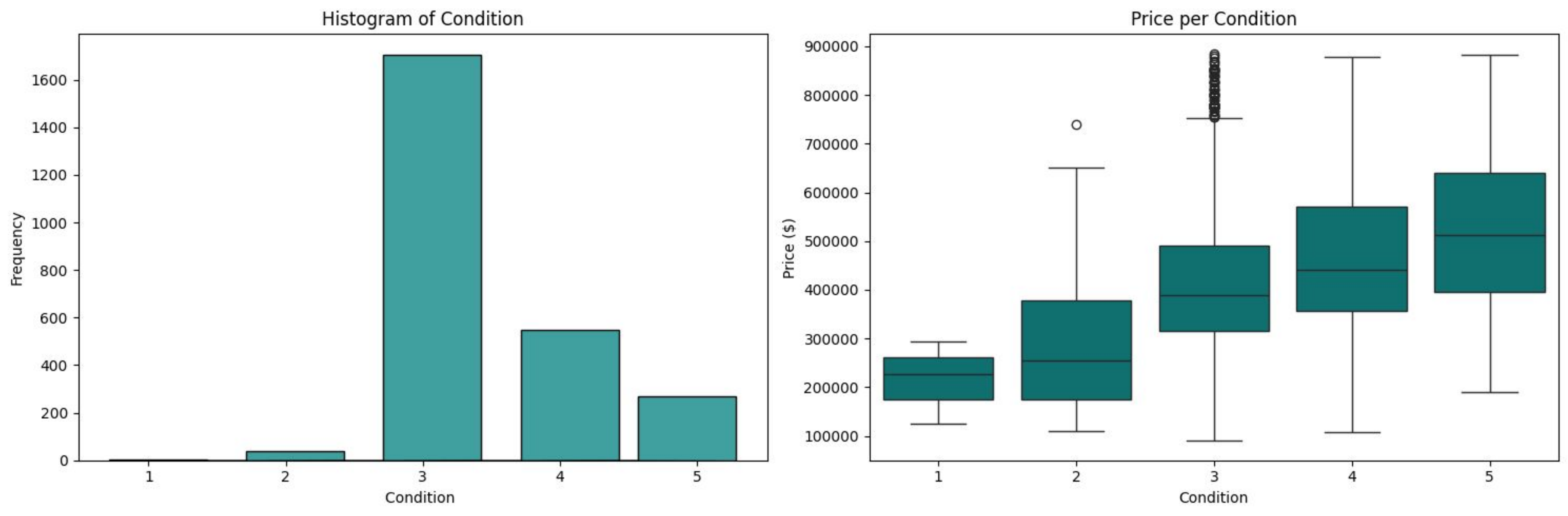


H1: The value of a property is defined by its **condition**, **grade** and **living area**.



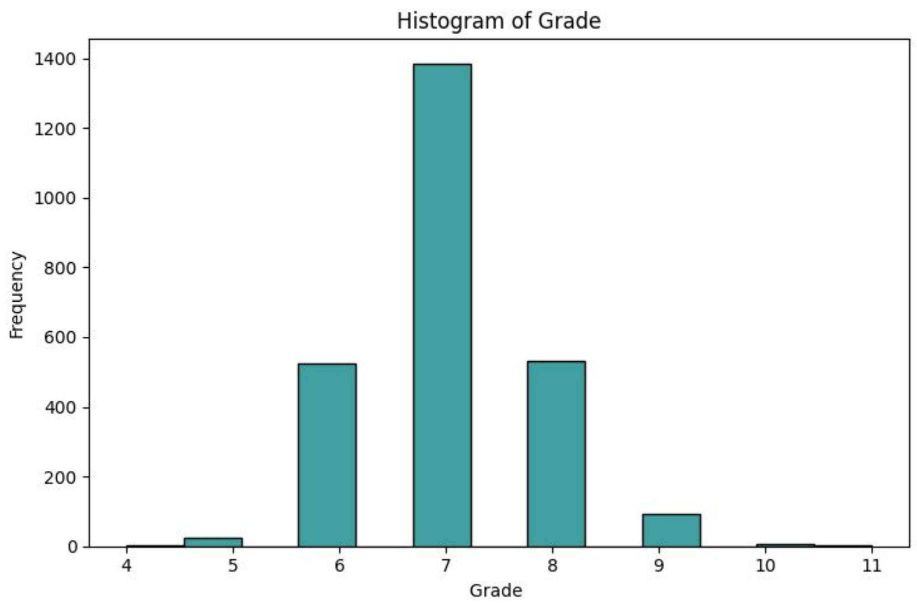
View has a very skewed distribution. We will not consider it for our evaluation. **Condition** seems to have the same issue.

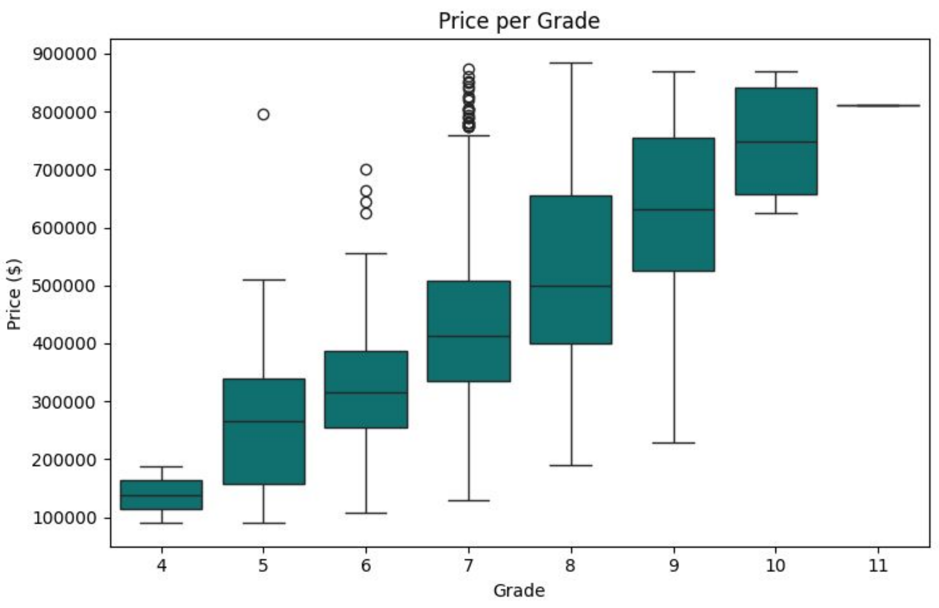
H1: The value of a property is defined by its **condition**, **grade** and **living area.**



As expected, condition date is very skewed and correlation can't be assumed. The original **hypothesis** is proved **wrong**. We will drop it and define the value of a house only by its living area and grade.

H1: The value of a property is defined by its **condition**, **grade** and **living area**.



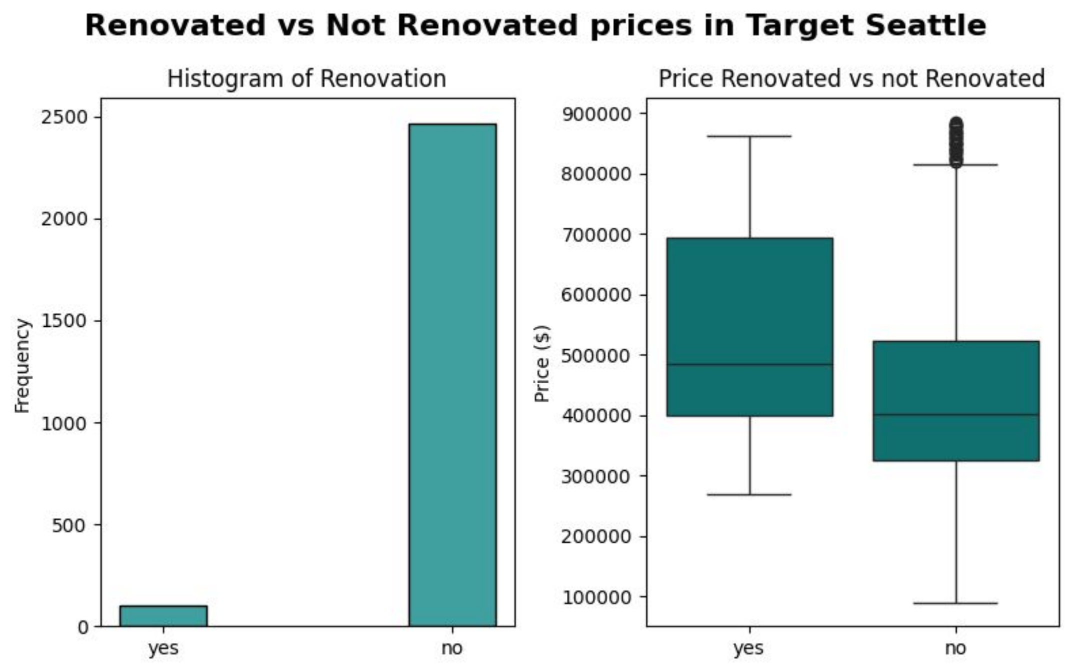


The original **hypothesis** is proved **right** for this case. The higher the grade, the higher the value.

Assumption:

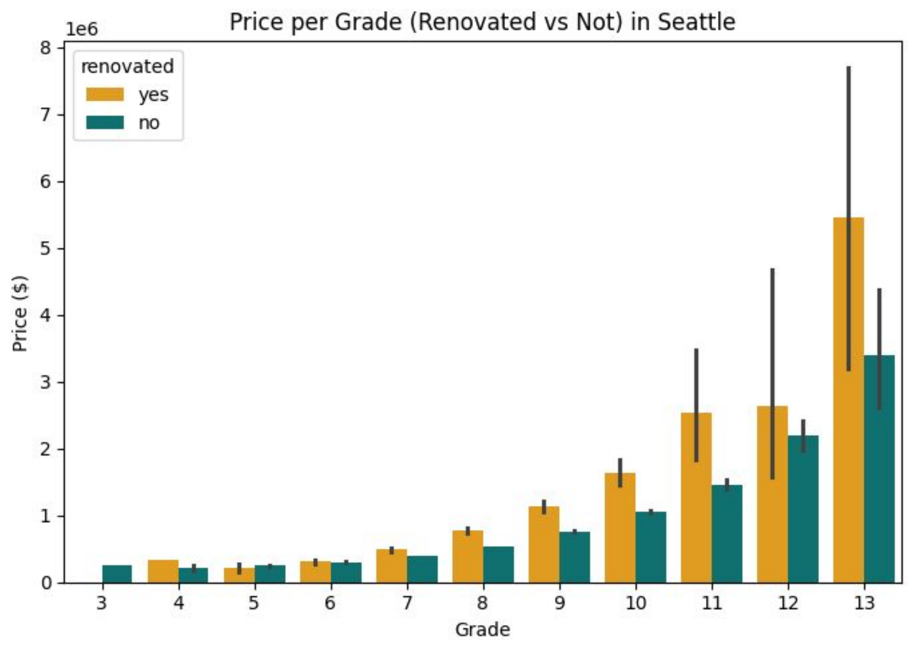
Within this study we will determine the **value of a property** by its grade and living area.

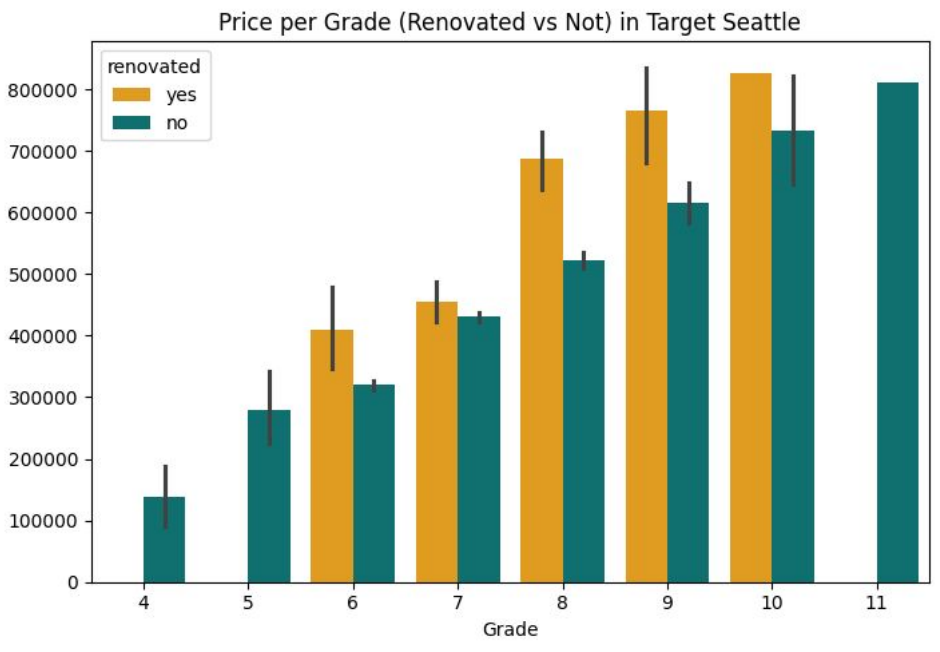
H2: The value of a property increases after renovation



* not renovated includes properties where we lack info of renovation, but the amount of those is considered irrelevant for this case and wont altere the result

H2: The value of a property increases after renovation





The original **hypothesis** is proved **right.** Renovated houses are more valuable than those that are not renovated

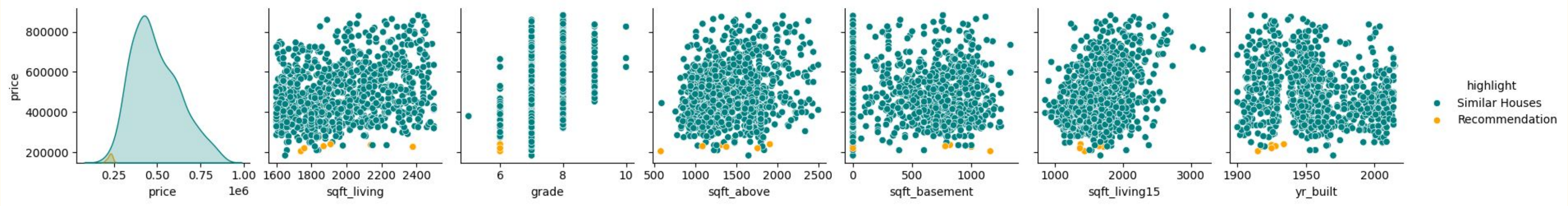
Assumption:

The value of a property increases after renovation

Recommendation Strategy: Look for cheap and easy to renovate houses with high potential value.

- Cheap: under 250.000$
- Easy to renovate and high valuation post renovation: grade 6 → 7 or 8 after renovation
- High potential value: over 16.000 sqft Living Area

Selected recommendations against similar houses in Target Seattle



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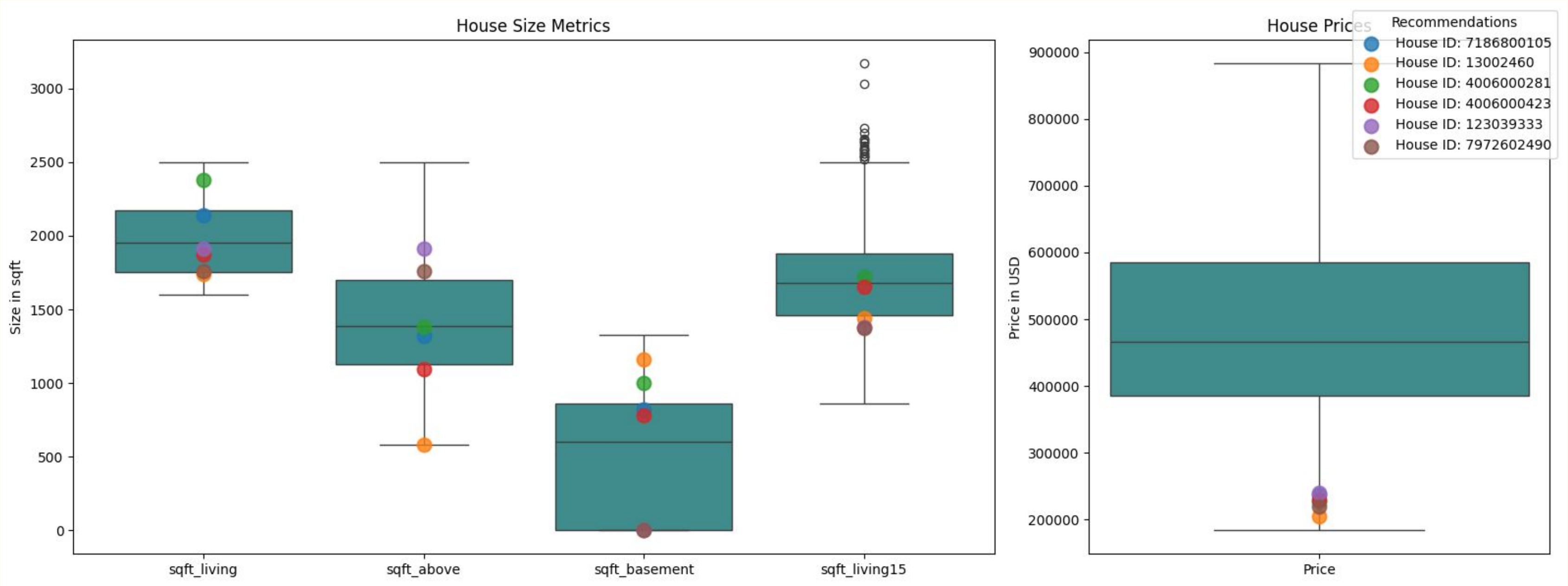

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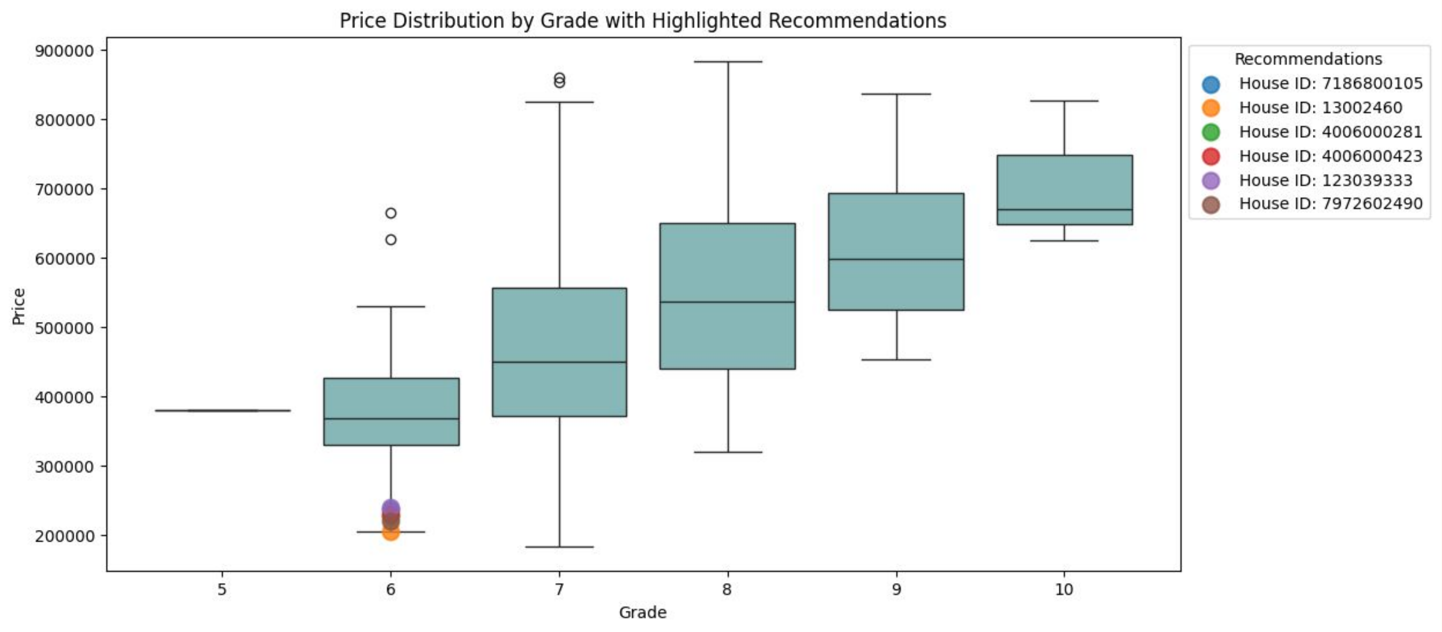

Thank You